Question 1: Solution

Southampton plc

Requirement 1 - Statement of cash flows using direct method

Southampton plc
Statement of cash flows for the year ended 31 December 20X2

	£'000	£'000
Cash flows from operating activities		
Cash receipts from customers (W1)	7,665	
Cash paid to suppliers and employees (W2)	(5,493)	
Cash from operating activities before income taxes	2,172	
Income taxes paid (W3)	(498)	
Net cash generated from operating activities		1,674
Cash flows from investing activities		
Purchase of property, plant and equipment (W4)	(1,440)	
Proceeds from sale of property, plant and equipment (W5)	30	
Net cash used in investing activities		(1,410)
Cash flows from financing activities		
Proceeds from issue of share capital (W6)	54	
Proceeds from long-term borrowings (W7)	450	
Dividends paid (W8)	(195)	
Interest paid (W9)	(555)	
Net cash used in financing activities		(246)
Net increase in cash and cash equivalents		18
Cash and cash equivalents at 1 January 20X2		573
Cash and cash equivalents at 31 December 20X2		591

Operating activities subtotals and direction of cash flows (2 marks)

Investing activities subtotal and direction of cash flows (1 mark)

Financing activities subtotal and direction of cash flows (1 mark)

Net increase in cash and equivalents (1 mark)

Workings

W1 Cash receipts from customers

	£'000
Opening trade receivables	567
Revenue	7,590
	8,157
Closing trade receivables	492
Cash receipts from customers	7,665

(1 mark)

W2 Cash paid to suppliers and employees

	£'000
Opening trade and other payables (£234k + [£24k - £6k])	252
Purchases ([£5,580k - £501k - £42k] - £306k + £318k)	5,049
Selling expenses	186
General and administrative expenses	228
	5,715
Closing trade and other payables (£213k + [£30k - £21k])	222
Cash paid to suppliers and employees	5,493

Adjust for subsidiary (1 mark)

Remove accrued interest (1 mark)

Expenses (1 mark)

Cash paid (1 mark)

W3 Income taxes paid

	£'000
Opening income taxes payable	198
Income tax expense	549
	747
Closing income taxes payable	249
Income taxes paid	498

(1 mark)

W4 Purchase of property, plant and equipment

	£'000
Opening property, plant and equipment	4,572
Depreciation charge	(501)
Disposal	(72)
Revaluation increase	1,140
	5,139
Closing property, plant and equipment	6,579
Purchase of property, plant and equipment	1,440

Depreciation (1 mark)

Disposal (1 mark)

Revaluation (1 mark)

Purchase of PPE (1 mark)

W5 Proceeds from sale of property, plant and equipment

	£'000
Carrying amount	72
Loss on disposal	42
Proceeds from sale of property, plant and equipment	30

(1 mark)

W6 Proceeds from issue of share capital

	£'000
Opening share capital and share premium (£2,400k + £240k)	2,640
Issue of bonus shares (360k x £0.50)	180
	2,820
Closing share capital and share premium (£2,628k + £246k)	2,874
Proceeds from issue of share capital	54

Share capital and share premium (1 mark)

Bonus issue (1 mark)

Proceeds (1 mark)

W7 Proceeds from long-term borrowings

	£'000
Opening borrowings	2,550
Closing borrowings	3,000
Proceeds from long-term borrowings	450

(1 mark)

W8 Dividends paid

Opening retained earnings	372
Profit for the period	477
Issue of bonus shares	(180)
	669
Closing retained earnings	474
Dividends paid	195

(2 marks)

W9 Interest paid

	£'000
Opening accrued interest expense	6
Interest expense	570
	576
Closing accrued interest expense	21
Interest paid	555

(1 mark)

Total marks (23 marks)

Requirement 2 – indirect method

Southampton plc
Statement of cash flows for the year ended 31 December 20X2

	£'000
Cash flows from operating activities	
Operating profit	1,596
Adjustments for:	
Loss on sale of property, plant and equipment	42
Depreciation expense	501
	2,139
Increase in inventories (W10)	(12)
Decrease in trade receivables (W11)	75
Decrease in trade and other payables (W12)	(30)
Cash from operating activities before income taxes	2,172
Income taxes paid (W3)	(498)
Net cash from operating activities	1,674

Loss on sale (1 mark)

Depreciation (1 mark)

Subtotals and direction of cash flows (1 mark)

W10 Inventories

	£'000
Opening inventories	306
Closing inventories	318
Increase	**12**

W11 Trade receivables

	£'000
Opening trade receivables	567
Closing trade receivables	492
Decrease	**75**

W12 Trade and other payables

	£'000
Opening trade and other payables (234+24-6)	252
Closing trade and other payables (213+30-21)	222
Decrease	**30**

Inventories (1 mark)

Trade receivables (1 mark)

Trade and other payables (2 marks)

Total marks (7 marks)

Question 2: Solution

Glen Ltd

Statement of cash flows extracts

Glen Ltd
Statement of cash flows
For the year ended 31 October 20X1

	£'000	£'000
Cash flows from investing activities		
Purchase of property, plant and equipment (W1)	(25,792)	
Purchase of investments (W2)	(100)	
Proceeds from sale of property, plant and equipment (W3)	244	
Interest received (W4)	12	
Dividends received (per question)	20	
Net cash used in investing activities		(25,616)
Cash flows from financing activities		
Proceeds from issue of share capital (W5)	11,800	
Payment of lease liabilities (W7)	(372)	
Interest paid (W6)	(204)	
Dividends paid (per question)	(8,000)	
Net cash from financing activities		3,224

Headings, sub totals and direction of cash flows (3 marks)

Workings

W1 Purchase of property, plant and equipment

	£'000
Opening property, plant and equipment	38,268
Depreciation expense	(12,896)
Disposal	(304)
Right-of-use assets	520
	25,588
Closing property, plant and equipment	51,380
Purchase of property, plant and equipment	25,792

(4 marks)

W2 Purchase of investments

	£'000
Opening investments	100
Fair value increase	40
	140
Closing investments	240
Purchase of investments	100

(2 marks)

W3 Proceeds from sale of property, plant and equipment

	£'000
Carrying amount	304
Loss on disposal	60
Proceeds from sale of property, plant and equipment	244

(2 marks)

W4 Interest received

	£'000
Opening accrued income	-
Interest income	12
	12
Closing accrued income	-
Interest received	12

(1 mark)

W5 Proceeds from issue of share capital

	£'000
Proceeds received (6,000k x £2.00)	12,000
Less: Issue costs	(200)
Proceeds from issue of share capital	11,800

(2 marks)

W6 Interest paid

	£'000
Opening accrued interest expense	20
Interest expense on lease liabilities	212
	232
Closing accrued interest expense	28
Interest paid	204

(1 mark)

W7 Payment of lease liabilities

	£'000
Opening lease liability (£528k + £260k)	788
New lease	520
	1308
Closing lease liability (£616k + £320k)	936
Payment of lease liabilities	372

(2 marks)

Total marks (17 marks)

Question 3: Solution

Aqua Ltd

Consolidated statement of cash flows

Aqua Ltd
Consolidated statement of cash flows
For the year ended 31 December 20X3

	£'000	
Cash flows from operating activities		
Operating profit	10,529	**(1 mark)**
Adjustments for:		
Impairment of goodwill (W11)	376	
Profit on sale of property, plant and equipment	(50)	**(1 mark)**
Depreciation charge	500	**(1 mark)**
	11,355	
Increase in inventories (W8)	(150)	
Decrease in trade receivables (W9))	3,050	
Decrease in trade and other payables (W10)	(107)	
Cash from operating activities before income taxes	14,148	**(1 mark)**
Income taxes paid (W4)	(4,776)	
Net cash generated from operating activities	9,372	**(1 mark)**
Cash flows from investing activities		
Proceeds on sale of property, plant and equipment (W5)	50	
Purchase of subsidiary undertaking, net of cash acquired(£5,000 - £750)	(4,250)	**(1 mark)**
Payments to acquire property, plant and equipment (W6)	(500)	
Purchase of investments (£1,252 - £100)	(1,152)	**(1 mark)**
Dividends received from associate (Note 2)	80	**(1 mark)**
Net cash used in investing activities	(5,772)	**(1 mark)**
Cash flows from financing activities		
Proceeds on issue of share capital at premium (Note 3)	4,000	**(1 mark)**
Dividends paid to non-controlling interests (W3)	(527)	
Net proceeds from long-term borrowings (W7)	(1,500)	
Interest paid (W1)	(596)	
Dividends paid (W2)	(1,059)	
Net cash from financing activities	318	**(1 mark)**
Net increase in cash and cash equivalents	3,918	**(1 mark)**
Cash and cash equivalents at 1 January 20X3	1,552	
Cash and cash equivalents at 31 December 20X3	5,470	

Presentation (2 marks)

Totalling (1 mark)

Workings

W1 Interest paid

	£'000
Accrued interest expense at 1 January 20X3	209
SPLOCI – Interest expense	529
Accrued interest expense at 31 December 20X3	142
Interest paid during the year	596

(1 mark)

W2 Dividends paid

	£'000
Balance at 1 January 20X3	184
Debited to equity	1,200
Balance at 31 December 20X3	32
Dividends paid during the year	1,059

(1 mark)

W3 Dividends paid to non-controlling interests

	£'000
NCI balance at 1 January 20X3	450
NCI on acquisition of Sigma Ltd	211
SPLOCI – Non-controlling interest	496
Balance at 31 December 20X3	630
Dividends paid to NCI during the year	527

(2 marks)

W4 Tax paid

	£'000
Income taxes payable at 1 January 20X3	145
On acquisition of Sigma Ltd	565
SPLOCI – Income tax expense	4,200
Income taxes payable at 31 December 20X3	(134)
Tax paid during the year	4,776

(2 marks)

W5 Cash from sale of property, plant and equipment

	£'000
Profit on disposal of property, plant and equipment	50
Carrying amount assets disposed (700 - 700)	-
Cash received	50

(1 mark)

W6 Purchase of property, plant and equipment

	£'000
Carrying amount at 1 January 20X3	8,550
On acquisition of Sigma Ltd (4,000 - 1,100)	2,900
Carrying amount of disposals	0
Depreciation expense	(500)
Carrying amount at 31 December 20X3	11,450
Cash paid	500

(2 marks)

W7 Long-term loans

	£'000
Balance at 1 January 20X3	3,500
On acquisition of Sigma Ltd	4,000
Balance at 31 December 20X3	6,000
Cash repayment	(1,500)

(1 mark)

W8 Inventories

	£'000
Balance at 1 January 20X3	1,050
On acquisition of Sigma Ltd	1,800
Balance at 31 December 20X3	3,000
Increase	150

(1 mark)

W9 Trade receivables

	£'000
Balance at 1 January 20X3	1,300
On acquisition of Sigma Ltd	3,750
Balance at 31 December 20X3	2,00
Decrease	(3,050)

(1 mark)

W10 Trade payables

	£'000
Balance at 1 January 20X3	1,532
On acquisition of Sigma Ltd	1,800
Balance at 31 December 20X3	3,225
Decrease	(107)

(1 mark)

W11 Goodwill impairment

	£'000
Goodwill at 1 January 20X3	0
Goodwill recognised on acquisition of Sigma Ltd	2,376
Goodwill at 31 December 20X3	(2,000)
Goodwill impairment	376

(1 mark)

Total (28 marks)

Question 4: Solution

Eragon Ltd

Consolidated statement of cash flows

Eragon Ltd
Consolidated statement of cash flows
For the year ended 31 December 20X3

	£'000	
Cash flows from operating activities		
Operating profit	6,237	**(1 mark)**
Profit on sale of property, plant and equipment (Note 2)	(350)	**(1 mark)**
Impairment and amortisation of intangible assets (Note 3)	520	**(1 mark)**
Depreciation (Note 2)	1,287	**(1 mark)**
	7,694	
Increase in inventories (W1)	(2,275)	
Decrease in trade receivables (W2)	6,048	
Increase in trade payables (W3)	1,529	
Cash from operating activities before income taxes	12,996	**(1 mark)**
Income taxes paid (W7)	(5,297)	
Net cash generated from operating activities	7,699	**(1 mark)**
Cash flows from investing activities		
Proceeds on sale of property, plant and equipment (W8)	450	
Payments to acquire property, plant and equipment (W9)	(1,250)	
Purchase of subsidiary, net of cash acquired (5,000 – 58)	(4,942)	**(1 mark)**
Interest received	452	**(1 mark)**
Net cash used in investing activities	(5,290)	**(1 mark)**
Cash flows from financing activities		
Dividends paid to non-controlling interests (W6)	(277)	
Repayment of lease liability (W10)	(2,950)	
Receipt of long-term bank loans (W11)	4,207	
Interest paid (W4)	(428)	
Dividends paid (W5)	(750)	
Net cash used in financing activities	(198)	**(1 mark)**
Net increase in cash and cash equivalents	2,211	
Cash and cash equivalents at 1 January 20X3	1,958	
Cash and cash equivalents at 31 December 20X3	4,169	

Presentation (2 marks)

Totalling (1 mark)

Workings

W1 Change in inventories

	£'000
Balance at 1 January 20X3	6,506
Inventories acquired from Arya	1,800
Balance 31 December 20X3	10,581
Increase	2,275

(1 mark)

W2 Change in trade receivables

	£'000
Balance at 1 January 20X3	12,000
Receivables acquired from Arya	2,700
Balance at 31 December 20X3	8,652
Decrease	6,048

(1 mark)

W3 Change in trade payables

	£'000
Balance at 1 January 20X3 (2,559 – 78 – 300)	2,181
Payables acquired from Arya	2,790
Balance 31 December 20X3 (6,565 – 15 – 50)	6,500
Increase	1,529

(3 marks)

W4 Interest paid

	£'000
Accrued interest expense at 1 January 20X3	78
SPL – Interest expense	365
Accrued interest expense at 31 December 20X3	15
Paid during the year	428

(1 mark)

W5 Dividends paid

	£'000
Dividends payable at 1 January 20X3	300
Dividend for the year (5,875 + 4,000 – 9,375)	500
Dividends payable at 31 December 20X3	50
Paid during the year	750

(3 marks)

W6 Dividends paid to non-controlling interests

	£'000
NCI at 1 January 20X3	300
SPL – NCI share of profit	427
NCI at 31 December 20X3	450
Dividend paid during the year	277

(1 mark)

W7 Tax paid

	£'000
Income taxes payable at 1 January 20X3	3,500
SPLOCI – Income tax expense	1,897
Income taxes payable at 31 December 20X3	(100)
Income tax paid during the year	5,297

(1 mark)

W8 Proceeds from sale of property, plant and equipment

	£'000
SPLOCI – Profit on disposal	350
Carrying amount of assets disposed	100
Cash received	450

(1 mark)

W9 Purchase of property, plant and equipment

	£'000
Carrying amount at 1 January 20X3	13,500
Carrying amount of assets on acquisition of Arya	4,325
Carrying amount of disposals	(100)
Depreciation expense	(1,287)
Carrying amount at 31 December 20X3	17,688
Cash paid	1,250

(3 marks)

W10 Capital element of lease liability

	£'000
Balance at 1 January 20X3 (5,800 + 450)	6,250
Balance at 31 December 20X3 (3,000 + 300)	(3,300
Payments	2,950

(2 marks)

W11 Long-term loans

	£'000
Balance at 1 January 20X3	1,200
On acquisition of Arya	1,393
Balance at 31 December 20X3	6,800
Net proceeds received	4,207

(1 mark)

Note X: Acquisitions

On 30 March 20X3, Eragon acquired all the ordinary shares of Arya Ltd for £5m.

(1 mark)

The table below summarises the net assets acquired as well as the consideration paid.

Arya	**£'000**
Property, plant and equipment	4,325
Inventories	1,800
Trade receivables	2,700
Cash and cash equivalents	58
Trade and other payables	(2,790)
Long-term loans	(1,393)
	4,700
Goodwill	300
	5,000
Satisfied by:	
Cash	5,000
	5,000

(3 marks)

Total marks (35 marks)

Question 5: Solution

Taylor plc

Consolidated statement of cash flows

Taylor plc
Group statement of cash flows
For the year ended 31 March 20X3 (Extract)

	£000
Cash flow from operations:	
Operating profit	1,254
Adjustments for:	
Depreciation (£376k + £52k)	428
Loss on sale of assets	73
Decrease in inventories (W1)	78
Increase in trade and other receivables (W1)	(138)
Increase in trade and other payables (W1)	83
Cash generated from operations before income taxes	1,778
Income taxes paid (W2)	(150)
Net cash generated from operating activities	1,628

Operating profit (1 mark)

Adjustments for depreciation / loss (2 marks)

Cash generated from operations before income taxes (1 mark)

Presentation and calculation of net cash from operating activities (1 mark)

Presentation and direction of cashflows (2 marks)

Workings

W1 Movements in working capital balances

	Inventories £'000	**Trade and other receivables £'000**	**Trade and other payables £'000**
Opening balance	728	1,290	912
Add: acquired on acquisition of subsidiary	45	61	52
Closing balance	(695)	(1,489)	(1,047)
(Increase)/decrease	78	(138)	(83)

Inventories (1 mark)

Trade and other receivables (1 mark)

Trade and other payables (1 mark)

W2 Income tax paid

	Tax paid £'000
Opening accrual/liability	147
Add acquired on acquisition	10
Statement of profit or loss	231
Closing accrual/liability	(238)
Cash flow	150

Tax paid (2 marks)

Total marks (12 marks)

Question 6: Solution

Short plc

Cash flow statement

Short plc
Consolidated statement of cash flows (extract)
For the year ended 31 March 20X3

	£000	£000
Cash flows from financing activities		
Buyback of share capital (W1)	(2,400)	
Payment of long-term borrowings (W2)	(560)	
Dividends paid to non-controlling interests (W3)	(150)	
Interest paid (W4)	(200)	
Dividends paid	(6,975)	
Net cash used in financing activities		(10,285)

Totalling (1 mark)

Presentation/direction of cash flows (2 marks)

Workings

W1 Share capital and share premium

	Share capital	Share premium
	£	£
At 1 April 20X2	9,000	2,000
Add: issued on acquisition (see below)	250	1,000
Less: repurchase of shares	(500)	
At 31 March 20X3	8,750	3,000

As these movements fully explain the changes in share capital and premium, there were no further movements during the year.

Share capital issued on acquisition = £0.50 x 500,000 = £250,000.
Share premium issued on acquisition = (£2.50 - 0.50) x 500,000 = £1,000,000.

(4 marks)

The repurchase of shares resulted in a decrease in share capital of £0.50 x 1,000,000 = £500,000.

Note: There was no impact on share premium as share premium cannot be utilised if there is not a corresponding fresh issue.

(1 mark)

The repurchase resulted in a cash outflow of 1,000,000 x £2.40 = £2,400,000.

(1 mark)

W2 Loans

At 1 April 20X2 (£500,000 + £2,000,000)	2,500
At 31 March 20X3 (£500,000 + £1,440,000)	1,940
Repaid during the year	560

(2 marks)

W3 Dividends paid to non-controlling interests

NCI balance at 1 April 20X2	500
Profit attributable to NCI in year	250
NCI balance at 31 March 20X3	600
Dividend paid to NCI during the year	150

(2 marks)

W4 Interest paid

Accrued interest expense at 1 April 20X2	6,810
Interest expense	1,350
Add acquired on acquisition	10
Accrued interest expense at 31 March 20X3	7,970
Interest paid during the year	200

(2 marks)

Total marks (15 marks)

Question 7: Solution

Folders plc

Consolidated statement of cash flows

Folders Group

Consolidated statement of cash flows for the year ended 31 July 20X3

	£000	£000	
Cash flows from investing activities			
Purchase of property, plant and equipment (W1)	(4,099)		
Purchase of intangible assets	(40)		**(1 mark)**
Proceeds from sale of equipment (W3)	503		
Purchase of shares in associate	(377)		**(1 mark)**
Interest received (W2)	102		
Dividends received from associate (W4)	210		
Acquisition of subsidiary, net of cash acquired (175 - 60)	(115)		**(1 mark)**
		(3,816)	

Presentation and direction of cash flows (2 marks)

Workings

W1 Property, plant and equipment

	£000	
Opening carrying amount	11,508	
Add:		
Purchased through subsidiary	1,550	**(1 mark)**
Right-of-use assets	228	**(1 mark)**
Revaluations in year	208	**(1 mark)**
Less:		
Disposals	(458)	**(1 mark)**
Depreciation	(1,553)	**(1 mark)**
	11,483	
Closing carrying amount	15,582	
Cash purchases	4,099	**(1 mark)**

W2 Interest income

	£000	
SPLOCI – Interest income	126	
Add:		
Opening accrued interest receivable	23	
Less:		
Closing accrued interest receivable	(47)	
Interest received	102	

(2 marks)

W3 Disposal of equipment

	£000
Carrying amount at date of sale	458
Gain on disposal	45
Proceeds	503

(1 mark)

W4 Associate

	£000
Opening investment in associate	833
Add:	
Increased investment in year	377
Share of net profit	230
	1,440
Closing investment in associate	1,230
Dividend from associate	210

(3 marks)

Total marks (17 marks)